Process of entrpreenurship

ENTREPRENEURIAL PROCESS



1) Identification and evaluation of the opportunity

- ➔ An entrepreneurial process begins with the idea generation, wherein the entrepreneur identifies, evaluates the business opportunities, and studies the market.
- ➔ This is a very difficult task. The entrepreneur must all by himself identify the opportunity because the opportunity did not suddenly appear.
- ➔ Once the opportunity has been decided upon, the next step is to evaluate it.
- ➔ An entrepreneur can evaluate the efficiency of an opportunity by continuously asking certain questions to himself, such as, whether the opportunity is worth investing in, is it sufficiently attractive, are the proposed solutions feasible, is there any competitive advantages, what is the risk associated with it.



2) Development of the business plan

- ➔ Once the opportunity is identified, an entrepreneur needs to create a comprehensive business plan.
- ➔ A business plan is critical to the success of any new venture since it acts as a benchmark and the evaluation criteria to see if the organization is moving towards its set goals.
- ➔ An entrepreneur must dedicate his sufficient time towards its creation, the major components of a business plan are mission and vision statement, goals and objectives, capital requirement, a description of products and services, etc.



3) Determination of the Required Resources

- ➔ In this step, the entrepreneur identifies and acquires the sources from where the finance and the human resource can be arranged.
- ➔ Here, the entrepreneur finds the investors for its new venture and the personnel to carry out the business activities.



4) Management of the resulting enterprise

- ➔ Here, the entrepreneur operates the business and utilizes resources to achieve goals/objectives.
- ➔ Once the funds are raised and the employees are hired, the next step is to initiate the business operations to achieve the set goals.
- ➔ First of all, an entrepreneur must decide the management structure or the hierarchy that is required to solve the operational problems when they arise.



5) Harvesting

- ➔ The final step in the entrepreneurial process is harvesting wherein, an entrepreneur decides on venture's future growth, development or demise.
- ➔ Here, the actual growth is compared against the planned growth and then the decision regarding the stability or the expansion of business operations is undertaken accordingly, by an entrepreneur.
- ➔ The entrepreneurial process is to be followed, again and again, whenever any new venture is taken up by an entrepreneur, therefore, its an ever-ending process.

